25900345 **Reg.No : .....**

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) Regular EXAMINATION October 2025

Third SEMESTER

Discipline Specific Elective (DSE) - MG3DSEECO201 - FINANCIAL ECONOMICS

(2024 ADMISSION ONWARDS)

Duration: 2 Hours **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Multiple Choice Question

Answer all questions

Each question carries **1** marks

1. Which type of cash flows need discounting? [U] / [CO1]

   a). Past b). Future

   c). Current d). All

2. Benefit - Cost Ratio is calculated as: [K] / [CO2]

   a). Present value of costs /Present value of benefits. b). Net Present Value / Present value of costs.

   c). Present value of benefits/ Present value of costs. d). Internal rate of return / Cost of capital

3. Asymmetric information occurs when: [U] / [CO1]

   a). Both parties in a transaction have equal access to information b). One party has more or better information than the other

   c). No party has any information about the transaction d). The government regulates all information flows

4. The problem of hidden action is most closely associated with [U] / [CO1]

a). Adverse selection b). signalling

c). Moral hazard d). screening

5. The process of earning interest on interest is called : [U] / [CO4]

a). Simple Interest b). Compounding

c). Discounting d). Annuity

6. Single period cash flow means cash flows are considered for [U] / [CO1, CO2]

a). One period b). Two period

c). Many Years d). None

7. Give the main reason behind an downward-sloping yield curve according to the expectationTheory? [U] / [CO1]

a). Investors expect short-term interest rates to rise b).due to market segmentation

c).Investors expect short-term interest rates to fall d).Investors expect short-term interest rates to rise

8. Suppose that 2 investments have the same return, what measure can be used to compare the risk? [U] / [CO1]

a). Beta b). Sharpe ratio

c). Coefficient of variation d). All the above

9. According to the Expectations Model of interest rates, the long - term interest rates is: [U] / [CO1, CO4]

a). Always higher than short - term rates due to inflation. b). An average of current and expected future short - term interest rates. c). Determined only by the central bank's policy rate. d). Unrelated to short-term interest rates.

10. Select the buying and selling pattern in the secondary market. [U] / [CO1]

a). Between Individuals b). Betweeen Companies

c). Between investors d). Between brokers

[1x10 = 10]

Part B

Short Answer

Answer any **10** questions

Each question carries **3** marks

11.	Define risk diversification.	[U] / [CO1]
12.	Explain how the term structure of interest rate influences the shape of its yield curve.	[U] / [CO1]
13.	Differentiate between systematic and unsystematic risk.	[U] / [CO1]
14.	Classify the different types of carrying cost.	[U] / [CO1, CO4]
15.	What is liquidity management?	[U] / [CO1]
16.	Show how stock exchange indices are used by investors.	[A] / [CO1]
17.	What do you mean by residual dividend policy?	[U] / [CO4]
18.	Write a note on goal setting.	[K] / [CO3, CO5]
19.	Write a short note on the One-Fund Theorem.	[K] / [CO2]
20.	What is the role of the risk-free asset in the CML?	[An] / [CO1, CO3]
21.	Discuss any three functions of financial markets.	[U] / [CO1]
22.	Briefly explain Modigliani and Miller theory with taxes.	[U] / [CO4]
23.	Discuss the evolution of derivatives.	[U] / [CO1]
24.	Explain the term "market risk premium" in CAPM.	[U] / [CO1, CO3]
25.	Explain adverse selection in terms of timing and the nature of hidden information.	[U] / [CO1]

[3x10 = 30]

Part C

Short Essay

Answer any **5** questions

Each question carries **6** marks

26.	Analyse how the two- fund theorem makes portfolio selection easier.	[An] / [CO2]
27.	Differentiate between cost of equity and cost of debt.	[E] / [CO4]
28.	What are the methods of managing interest rate risk ?	[U] / [CO1]
29.	Formulate the difference between future contract and forward contract in a derivative market.	[C] / [CO1, CO4]

30. Explain the functions of SEBI. [U] / [CO1]

31. Explain the concept of risk management. [U] / [CO1]

32. Discuss the advantages and disadvantages of bonds as a source of corporate finance. [An] / [CO4]

33. Write an essay on retirement plans. [U] / [CO3, CO5]

34. "Principal-agent problems are inevitable in large organisations". Do you agree? Justify with examples and solutions. [E] / [CO1]

35. Explain the concept of beta and its role in measuring systematic risk. [An] / [CO1, CO3]

[6x5 = 30]